NISM SERIES XIX-A · SEPTEMBER 2026 WORKBOOK · STUDY NOTES

AIF Category I & II Distributors

Sell private capital the right way: know the fund, the fine print, and the investor before you pitch.

An Alternative Investment Fund (AIF) is a privately pooled fund that collects big cheques (usually at least ₹1 crore each) from rich or institutional investors and puts the money into things you cannot buy on a stock exchange: start-ups, unlisted growing companies, private debt, infrastructure, stressed assets. Think of it as a members-only club that buys a share of promising businesses and returns cash only when it sells them years later. The distributor is the person who introduces investors to the right club, explains the house rules (fees, lock-ins, risks) and keeps helping them after they join. Because these products are illiquid, risky and full of complex terms, NISM's XIX-A exam sets a minimum knowledge benchmark so the people selling them do not mis-sell.

📋 Exam pattern

100	120 min	60%	10% of the marks assigned to the question
Total marks	Duration	Pass mark	Negative marking

80 MCQs + 5 case-based questions (each case has 4 questions) = 100 questions · Test-centre workstations have Microsoft Excel or LibreOffice for numericals (IRR, PV, yields). Use the September 2026 workbook for exams on or after November 28, 2026. Chapter weightages: Ch 8 = 15%; Ch 4, 5, 6, 7, 9 = 10% each; Ch 1, 2, 3, 10, 11, 12, 13 = 5% each.

👥 Who needs it

- Persons working as distributors or placement agents of Category I and Category II AIFs in India (the stated target audience of the examination)
- Sales, relationship and wealth-management staff of banks, broking houses and distribution companies who market AIF schemes to HNIs, family offices and institutions
- Anyone wanting a structured grounding in Indian private equity, venture capital and private credit fund mechanics (note: AIF managers' key investment team needs XIX-C or XIX-D instead)

🧭 Exam strategy

- 100 questions in 120 minutes: aim for ~60 minutes on the 80 MCQs, ~40 minutes on the 5 cases (20 questions), and keep 20 minutes for review.
- Negative marking is only 10% of the question's marks, so an educated guess after eliminating even one option is worth taking.
- For each case, read the questions first, then the scenario, and underline numbers (commitments, drawdowns, distributions, NAV, rates).
- Keep Excel/LibreOffice open for IRR, PV, effective yield and multiples; do not hand-compute IRR.
- Chapter 8 (15%) and Chapters 4, 5, 6, 7, 9 (10% each) carry 65% of marks; master these first.
- Approval-percentage questions: two-thirds = strategy change and tenure extension; 75% = associates, external IC members, dissolution/winding up, valuation frequency relaxation, skipping the material-change exit.
- Watch 'lower of' versus 'higher of': sponsor commitment is the lower of 2.5%/₹5 crore; angel manager interest is the higher of 0.5%/₹50,000.
- In ethics questions, choose the answer that protects investor interest, discloses fully and avoids assured returns or pass-backs.
- Read 'NOT' and 'EXCEPT' carefully; flag and return rather than getting stuck.



Chapter 1 · Weight: 5%

Overview of Alternative Investments

Alternative investments are anything outside traditional, liquid, on-market stocks, bonds, mutual funds and ETFs. Their defining feature is illiquidity, and they exist to give sophisticated investors (institutions, HNIs) higher risk-adjusted returns and diversification, i.e. 'alpha'.

> **MAKE IT STICK**
> A listed share is like a rented scooter: hop on and off whenever you want. A stake in an unlisted start-up is like building a house: you cannot sell the half-built walls next month, but if you finish it well the payoff is far bigger.

1. Traditional investments = listed equity and debt, open-ended mutual funds, ETFs, exchange-traded simple derivatives; their common feature is liquidity.
2. The essential characteristic of alternative investments is illiquidity (off-market or complex structures with no ready market).
3. 'Dual' category: structures with illiquid underlying assets but liquid instruments, e.g. REIT/InvIT units, security receipts, closed-ended debt funds with real-estate exposure.
4. SEBI (AIF) Regulations 2012 define an AIF as a privately pooled investment vehicle that collects funds from Indian or foreign investors for a defined investment policy.
5. Excluded from AIF definition: mutual funds, collective investment schemes, family trusts, ESOP/employee benefit trusts, holding companies, securitisation SPVs, funds regulated by RBI or another regulator.
6. Venture capital = early-stage start-ups (new products, services, technology/IP, new business model); investee companies are called Venture Capital Undertakings.

7 DPIIT start-up: not more than 10 years old and turnover not above ₹100 crore in any financial year.

8 Private equity = later-stage unlisted companies; buyouts target control of 51% or more; LBOs use significant leverage. 'Equity' in PE can mean equity, preference, debt or mezzanine.

9 Hedge funds: invest across asset classes, use complex strategies (arbitrage, carry trade), go long and short, and use leverage at fund level (outside this workbook's scope).

10 Beta = systematic (non-diversifiable) risk; beta 1.0 mirrors the market, below 1 is less volatile.

11 Alpha = excess return from unsystematic risk (illiquidity, lower credit quality) and/or manager skill; e.g. 3%-5% p.a. over index returns.

12 US Small Business Investment Act 1958 boosted VC; dotcom bust 2001 hurt the industry; growth resumed after 2004.

13 Bain: 2021 India deal value hit USD 70 billion with 44 unicorns; 2022–23 'funding winter' (~USD 39 billion in 2023); 2024–26 'exit renaissance'.

14 Limitations of alternatives: complex structures, tedious documentation, less transparency, illiquidity, no regular income.

Defining feature of alternatives	AIF per SEBI
Illiquidity	**Privately pooled investment vehicle**

DPIIT start-up	Control/buyout stake	Typical PE/hedge alpha
≤ 10 years old, turnover ≤ ₹100 crore	**51% or more**	**3%–5% over index**

🎯 EXAM TIP

Expect 'which is an alternative investment' and 'which is NOT an AIF' questions: securitisation companies, family trusts, ESOP trusts and mutual funds are excluded; commercial real estate, unlisted equity and distressed debt are alternatives.

⚠️ TRAP

Alpha is excess return; beta is market sensitivity. Do not call a beta of 1.2 'outperformance'; it just means 20% more volatile than the market.



Chapter 2 · Weight: 5%

Alternative Investment Funds in India

Traces Indian VC/PE from the 1988 VC guidelines to the 2012 AIF Regulations and defines every fund type and the three categories. Category I = socially/economically desirable (VC, angel, SME, social impact, infrastructure, special situation, CDMDF); Category II = everything else without leverage (PE, debt); Category III = complex trading and leverage.

MAKE IT STICK

Picture SEBI as a city planner zoning land: Category I is the 'priority zone' (start-ups, SMEs, infra) that may get incentives, Category II is the 'regular residential zone' (PE, debt), and Category III is the 'casino district' where leverage and complex trading are allowed.

1. Venture Capital Guidelines notified on 25 November 1988; SEBI (Venture Capital Funds) Regulations 1996 dropped the 'untried technology' requirement; K. B. Chandrasekhar Committee (2000) revisions.
2. First characteristic Indian PE deal: Warburg Pincus' USD 292 million in Bharti Televentures (IPO exit 2002); KKR's buyout of Flextronics (2006) was a landmark.
3. VCF invests primarily in unlisted securities of start-ups/early-stage VCUs (new products, services, technology/IP, new business model); includes migrated VCFs.
4. Venture capital undertaking = a domestic company not listed on a recognised stock exchange at the time of investment.
5. Migration window for old VCFs closed July 19, 2025; migrated VCFs cannot launch new schemes; tenure extension up to 2 years with two-thirds approval by value; expired unwound schemes got liquidation period till July 19, 2026.
6. Angel Fund = Category I sub-category raising money from accredited investors; must on-board at least 5 accredited investors before first close; investment per investee ₹10 lakh to ₹25 crore.
7. Existing angel funds (registered on or before Sept 10, 2025) must comply with the AI mandate by March 31, 2027 and may take up to 200 non-accredited investors meanwhile.
8. PE Fund invests primarily in equity, equity-linked instruments or partnership interests (later stage).
9. Special Situation Fund (Category I) invests in special situation assets (stressed loans, ARC security receipts, IBC companies, defaults continuing ≥ 90 days) and may act as resolution applicant under IBC 2016.
10. Debt Fund invests primarily in debt securities of listed/unlisted investee companies or securitised debt.
11. Social Impact Fund invests in social ventures/enterprises meeting social performance norms; must align with the Social Stock Exchange framework (Annual Impact Report, Social Impact Assessors).
12. Corporate Debt Market Development Fund (CDMDF): close-ended trust, 15-year tenure from first close, units held by AMCs and debt MF schemes; buys listed investment-grade bonds with residual maturity ≤ 5 years during market dislocation; classified as Category I.
13. Government fund of funds of ₹10,000 crore for start-ups managed by SIDBI; National Infrastructure Investment Fund set up in 2015.
14. As on March 01, 2026, 1802 AIFs were registered (21 in 2012); commitments crossed ₹15.74 lakh crore as on December 31, 2025.

VC Guidelines	SEBI VCF Regulations	Angel fund AIs before first close	Angel investment per investee
25 Nov 1988	**1996**	**At least 5**	**₹10 lakh to ₹25 crore**

CDMDF tenure	Registered AIFs (1 Mar 2026)	Commitments (31 Dec 2025)
15 years from first close	**1802**	**₹15.74 lakh crore**

🎯 EXAM TIP

Category mapping is a favourite: angel, VC, SME, social impact, infrastructure, special situation and CDMDF are Category I; PE, debt and pre-IPO funds are Category II; hedge funds and listed/derivative trading with leverage are Category III.

⚠️ TRAP

A debt fund is Category II, not Category I, even though it may finance infrastructure SPVs; only a fund registered as an 'Infrastructure Fund' sits in Category I.

Chapter 3 · Weight: 5%

Concepts in the AIF Industry

The vocabulary of private funds: who the players are (investors, sponsor, trustee, manager, distributor, custodian), how money flows (commitment, drawdown, invested capital, dry powder), how the manager is paid (fees, hurdle, carry, catch-up) and how proceeds are split (waterfall, clawback).

MAKE IT STICK

Committing ₹1 crore to an AIF is like booking a wedding caterer with a promise to pay when each event happens. The caterer 'draws down' money only as each function arrives, and gets a bonus (carry) only after guests are fed first (hurdle).

1. Investors are called unit holders/contributors (trust), partners (LLP) or shareholders (company); abroad they are limited partners (LPs) and managers are general partners (GPs).
2. Minimum investment ₹1 crore per investor (₹25 lakh for employees/directors of AIF or manager; not applicable to accredited investors); minimum corpus ₹20 crore per scheme; maximum 1000 investors per scheme; only private placement.
3. Sponsor/Manager must be 'fit and proper' (Schedule II, SEBI Intermediaries Regulations 2008): integrity, no pending criminal charge sheet, no debarment, not insolvent/wilful defaulter, not of unsound mind.
4. Change in sponsor or manager must be informed to SEBI; change in control requires prior SEBI approval.
5. Trustee cannot be the manager, director, officer or employee of the investment company; must ensure investor interests are not compromised.
6. Custodian is compulsory for safekeeping of AIF securities; must be SEBI-registered and not a related party unless conditions are met.
7. Sponsor commitment (Cat I & II): continuing interest of not less than 2.5% of corpus or ₹5 crore, whichever is lower, in cash, not via fee waiver; locked till distributions are complete.
8. Capital commitment = legally binding promise; invested capital = amount actually drawn down; undrawn amount = 'dry powder'.

9 Initial drawdown after first close usually covers management fees retrospective to first close, organisational expenses and investments already made.

10 Management fee typically up to 2.5% of committed capital during the commitment period, then on invested capital/AUM; GST is extra; global norm '2–20' (2% fee, 20% carry).

11 Hurdle (preferred return): ~8% in developed markets, around 10%-12% for Indian VC/PE; it is a benchmark, never a guarantee.

12 Catch-up lets the manager's carry become a share of total profits rather than only of the excess over hurdle; high watermark (common in hedge funds) prevents paying carry twice on the same gains.

13 European waterfall: 100% capital then full preferred return to investors before any carry; American waterfall: carry paid deal-by-deal (suits pure debt funds), protected by clawback.

14 First close can be declared after minimum commitments or a stipulated fund-raising period; caps may be hard (cannot be breached) or soft.

15 Co-investment = manager, sponsor or investor investing directly in an investee company alongside a Cat I/II AIF.

16 Term sheet/SOPT is non-binding and has a validity period. ESG succeeds SRI; BRSR mandatory for top 1000 listed entities from FY 2022–23; value-chain disclosures cover partners making up 75% of purchases/sales.

Minimum investment	**₹1 crore (employees/directors ₹25 lakh)**
Minimum scheme corpus	**₹20 crore**
Max investors per scheme	**1000**
Sponsor/manager interest (Cat I & II)	**Lower of 2.5% of corpus or ₹5 crore**
Typical management fee	**Up to 2.5% of commitments**
Hurdle in India (VC/PE)	**~10%–12% (developed markets ~8%)**

🎯 **EXAM TIP**
Practise the sponsor commitment calculation (2.5% vs ₹5 crore, lower of the two) and the dry-powder / invested capital arithmetic; both appear as quick numericals.

⚠️ **TRAP**
Sponsor commitment is the LOWER of 2.5% and ₹5 crore, not the higher. For a ₹300 crore corpus it is ₹5 crore, not ₹7.5 crore. And it cannot be met by waiving management fees.

Chapter 4 · Weight: 10%

AIF Regulatory Framework

The heart of the rulebook: registration, sponsor commitment, tenure, accredited investors, corpus raising, PPM filing, investment limits for Category I and II, angel and special situation funds, obligations, code of conduct, and FEMA rules for foreign investment into AIFs and overseas investment by AIFs.

MAKE IT STICK

If an AIF is a ship, Chapter 4 is the maritime code: minimum size of ship (₹20 crore), maximum passengers (1000), how long the voyage must be (at least 3 years), how far you can go off course (two-thirds vote), and how much cargo can sit in one hold (25%).

1. Registration in Form A with a non-refundable fee; category cannot be changed after registration without SEBI approval; AIFs cannot invite the public to subscribe.

2. Key investment team: at least one key personnel must hold NISM XIX-C or XIX-D and the same person must hold a professional qualification (finance, accountancy, business management, commerce, economics, capital market, banking, or CFA charter).

3. Cat I & II are close-ended with minimum tenure 3 years (from first close); extension up to 2 years with two-thirds of unit holders by value; AI-only funds may extend up to 5 years.

4. Accredited investor (individual/HUF/family trust/proprietorship/partnership): annual income ≥ ₹2 crore; OR net worth ≥ ₹7.5 crore with ≥ ₹3.75 crore financial assets; OR income ≥ ₹1 crore and net worth ≥ ₹5 crore with ≥ ₹2.5 crore financial assets. Primary residence excluded.

5. Body corporate or non-family trust AI: net worth ≥ ₹50 crore. Deemed AIs: governments, their funds/agencies, QIBs, Category I FPIs, sovereign wealth funds, multilaterals.

6. Accreditation valid 2 years (criteria met in preceding 1 year) or 3 years (met in each of 2 preceding FYs); issued by subsidiaries of stock exchanges/depositories; once an AI on onboarding, treated as AI for the scheme's life.

7. Large Value Fund for Accredited Investors (LVF): each investor (other than manager/sponsor/employees) is an AI investing at least ₹25 crore.

8. Units of close-ended AIFs may be listed only after final close, with minimum tradable lot ₹1 crore; joint investors limited to 2 (spouse, parent, child).

9. PPM filed with SEBI through a merchant banker (not needed for AI-only funds); material change in strategy needs consent of at least two-thirds of unit holders by value.

10. Concentration: Cat I & II may invest max 25% of investable funds in one investee company (LVF: 50%). Investable funds = corpus net of estimated administration and management expenses for the tenure.

11. Investing in associates or in units of AIFs of the same manager/sponsor, or buying/selling investments from them, needs approval of 75% of investors by value; an investor committing ≥ 50% of the corpus is excluded from that vote and cannot be a counterparty.

12. Cat I and II cannot borrow except for temporary/day-to-day needs: max 30 days, max 4 occasions a year, max 10% of investable funds, with a 30-day cooling-off between borrowings.

13 VCF/SME/Social Impact/Infrastructure funds: at least 75% of investable funds in their core (unlisted) space; VCF/SME funds get insider-trading exemption for SME-listed investments if trades are disclosed within 2 working/trading days and locked in for 1 year.

14 Cat II invests primarily in unlisted securities and/or listed debt rated 'A' or below; may buy or sell credit default swaps.

15 Social impact funds may accept grants of at least ₹10 lakh (not for AIs); SSE-dedicated SIF schemes may invest 100% in NPOs.

16 Angel funds: first close within 12 months of eligibility; invest only in start-ups whose group turnover ≤ ₹300 crore; each investment from at least 2 AIs; lock-in 1 year (6 months if sold to third party); manager interest ≥ 0.5% of amount invested or ₹50,000, whichever is higher; no investment in associates (>15% holding test).

17 Special Situation Fund: minimum corpus ₹100 crore; minimum investment ₹10 crore (AI ₹5 crore, employees ₹25 lakh); accepts money only from other SSFs among AIFs; stressed loans locked in 6 months.

18 All investments made on or after July 01, 2025 must be held in demat form. Grievances via SCORES; compliance officer of AIF managers must hold NISM III-C (from January 01, 2027).

19 FEMA: resident = stayed in India > 182 days in preceding FY (intention matters); FDI ≥ 10% of post-issue diluted capital, FPI < 10%; downstream investment is indirect foreign investment if sponsor or manager is not Indian-owned and controlled.

20 Overseas investments by AIFs: only unlisted equity/equity-linked of offshore VCUs, industry cap USD 1,500 million, SEBI approval valid 4 months, max 25% of investable funds, IOSCO MMoU/bilateral MoU country, not FATF-blacklisted.

21 FLA return by 15 July each year; Form DI within 30 days of allotment for downstream investment; regulatory sandbox exemption up to 12 months.

Minimum tenure (Cat I & II) **3 years**	Tenure extension **Up to 2 years, two-thirds by value (AI-only: up to 5 years)**
Single investee limit **25% of investable funds (LVF 50%)**	Borrowing **≤ 30 days, ≤ 4 times/year, ≤ 10% of investable funds**
LVF minimum per investor **₹25 crore**	AI (individual) income route **≥ ₹2 crore p.a.**
AI net worth route **≥ ₹7.5 crore (₹3.75 crore financial)**	
AI body corporate **Net worth ≥ ₹50 crore**	SSF corpus / min ticket **₹100 crore / ₹10 crore (AI ₹5 crore)**
Overseas investment cap **USD 1,500 million industry-wide; 25% of investable funds**	Listing lot **₹1 crore, only after final close**

🎯 EXAM TIP

This chapter is number-dense: memorise every threshold in pairs (25%/50%, 2 years/5 years, two-thirds/75%, 10%/30 days/4 times). Examiners love asking which approval needs two-thirds (strategy change, tenure extension) versus 75% (associates, external IC members, winding up).

⚠️ TRAP

Two-thirds approval is for change in strategy and tenure extension; 75% is for dealing with associates, appointing undisclosed external IC members, liquidation scheme/dissolution and voluntary winding up. Don't swap them.



Chapter 5 · Weight: 10%

Alternative Investment Fund Structuring

How an AIF pool is legally housed (trust, LLP or company) and how domestic and offshore money is routed into India (pure domestic, pure offshore, parallel, unified). The trust is the dominant Indian choice because it is flexible, cheap to run and tax-neutral.

MAKE IT STICK

Pooling is like a family pooling money to buy a holiday villa: you need a legal 'box' to hold it (trust/LLP/company), the box must not expose everyone to unlimited losses, and it should not make taxes worse than if each person had bought a share directly.

1. Two ways to manage money: individual portfolio management (separate corpus per investor) versus pooled asset management (common corpus, economies of scale, diversification).
2. Pooling considerations: distinct legal identity, limited liability, tax neutrality, regulatory compliance, avoid over-complex structures (GAAR scrutiny), offshore jurisdiction choice (DTAA, BIPA, recognised capital market, stability, FATF-equivalent).
3. Trust (Indian Trusts Act 1882) is the most preferred structure; for AIFs an 'irrevocably settled, determinate trust' is used so each beneficiary's share is ascertainable (hence unit capital).
4. A trust cannot sue or be sued; the trustee does so on its behalf.
5. LLP (LLP Act 2008): partners' liability limited to agreed contribution; at least 2 designated partners; popular abroad, but higher compliance, cumbersome entry/exit and investor details in public domain (MCA).
6. Company (Companies Act 2013): least preferred; not tax neutral, heavy compliance, private placement limited to 200 investors versus 1000 under AIF rules.
7. Pure domestic AIF: Indian trust, resident investors, Indian sponsor/manager; all flows in INR.
8. Pure offshore fund: pooled and managed abroad; registers under SEBI FVCI Regulations or invests via FDI; only a local investment adviser in India.

9 Parallel structure: a domestic AIF and an offshore fund invest side by side; two separate pools and managements; several tax and compliance risks.

10 Unified structure: offshore fund invests entirely into the domestic SEBI-registered AIF; aggregates corpus in India for bigger deals.

11 BIPA (e.g. Singapore) protects against repatriation and arbitration risks; Mauritius and Singapore are common intermediary jurisdictions.

12 GAAR came into effect from April 01, 2017 and can re-characterise structures lacking commercial substance.

Preferred Indian AIF vehicle	**Irrevocable, determinate private trust**
LLP designated partners	**At least 2**
Company private placement limit	**200 investors (AIF allows 1000)**
Pooling vehicles in parallel/unified	**2 each**
Pure offshore fund regulation	**SEBI FVCI Regulations (or FDI route)**

🎯 EXAM TIP

Table 5.1 is examinable: number of pooling vehicles (1, 1, 2, 2), applicable regulations, and routing. Know that in the unified structure the offshore fund does not invest directly in investee companies.

⚠️ TRAP

In a parallel structure only the domestic AIF is registered under the AIF Regulations; the offshore fund invests directly via FVCI/FDI. It is not 'two AIFs registered with SEBI'.



Chapter 6 · Weight: 10%

Risk and Return – Fund and Investor Perspective

How AIF risks arise (illiquidity, adverse selection, cash management, underlying and debt risks) and how returns are measured: IRR/FIRR, MIRR, PIC, DPI, RVPI, TVPI, MOIC, KS-PME and Direct Alpha, gross versus net, and the J-curve.

MAKE IT STICK

An AIF's returns look like a hockey stick lying on the ice: in early years fees and young investments push value below zero, then exits lift it sharply. Judging a fund in year 2 is like judging a mango tree in its second summer.

1 Two return approaches: absolute (annualised ROI, ignores timing) and discounted (IRR uses time value of money). IRR is the 'money weighted return'.

2 Illustration: ₹10,000 becoming ₹19,000 in 3 years gives 30% simple average return but an IRR of about 24%.

3 Faster cash flows raise yield: 15% coupon gives 15% annual, 15.56% half-yearly, 15.87% quarterly, 16.08% monthly. Effective rate r = (1 + k/m)^m – 1.

4 Debt priority: secured senior > secured subordinated > unsecured > preference > equity; fixed charges rank ahead of floating charges once crystallised.

5 Mezzanine sits between debt and equity, often with warrants or conversion options.

6 Investor risks: adverse selection, illiquidity, limited monitoring, cash management (uncertain calls; over-commitment strategy), underlying investment risks, debt financing risks.

7 Fund-level risks: structure and governance (fiduciary duty), fund management, and macro/regulatory/currency risks.

8 MIRR improves IRR by using a realistic opportunity cost for reinvestment and financing (illustration: IRR 22% vs MIRR 18.7% at 10%).

9 PIC multiple = paid-in capital ÷ commitments (high PIC = near end of drawdown). DPI = cumulative distributions ÷ PIC (realisation multiple). RVPI = residual value ÷ PIC.

10 TVPI = DPI + RVPI ('net multiple'); MOIC = total value ÷ invested capital and equals TVPI once all capital calls are met.

11 TVPI is below 1 before investing (fees); RVPI dominates in vintage years; at full exit RVPI = 0 and DPI = TVPI.

12 KS-PME = FV of distributions + NAV ÷ FV of capital calls (compounded at index returns); >1 means the fund beat the market. Direct Alpha expresses the out-performance as an annual rate.

13 Gross metrics exclude fees, expenses and carry; net metrics include them. Gap is widest early in fund life and should narrow; a persistently large gap signals inefficiency.

14 Worked case (Alpha Fund): gross FIRR 25.45%, net FIRR 24.56%, investor FIRR after carry 20.13%, final DPI/TVPI 2.344.

Effective rate **(1 + k/m)^m – 1**	TVPI **DPI + RVPI**	PIC multiple **Paid-in capital ÷ commitments**	KS-PME > 1 **Fund outperformed market**
End of fund **RVPI = 0, DPI = TVPI**	Alpha Fund investor FIRR **20.13% (vs gross 25.45%)**		

🎯 EXAM TIP

Expect quick calculations: PIC, DPI, RVPI, TVPI from given numbers, effective yield with compounding, and IRR via Excel. Case questions often hand you a cash-flow table and ask for one metric.

⚠️ TRAP

DPI counts only cash actually distributed; RVPI is unrealised value. A high TVPI made mostly of RVPI is still 'paper' value. Also, investor-level IRR is lower than net fund IRR because of carry.



Chapter 7 · Weight: 10%

Investment Process and Governance of Funds

How a manager finds and closes deals (teaser, NDA, IM, term sheet, due diligence, definitive agreements), the investor-protection rights negotiated (anti-dilution, affirmative/veto, liquidation

preference, ROFR, tag/drag along), and the governance machinery (IC, CTR, stewardship, conflicts, grievances).

MAKE IT STICK

Buying into a start-up is like arranged-marriage diligence: first a biodata (teaser), then a family meeting (management presentation), a non-binding 'roka' (term sheet), background checks (DDR), and finally the binding wedding contract (SSA + SHA).

1. Deal flow via networks, investment bankers, databases; proprietary sourcing = internally sourced. A teaser is a 1–3 page summary; about 25% of leads are taken up for further processing.
2. NDA is signed to receive the Confidential Information Memorandum (CIM/IM); a 2–3 page investment proposal goes to the Investment Committee.
3. Term sheet / LOI / SOPT is non-binding, has a validity period (extendable by mutual consent) and usually an exclusivity period; DDR starts only after the term sheet is executed.
4. DDR components: business/commercial/technical (by investment team), financial (usually past 3 financial years, by accounting firm/investment bank), legal (by law firm). DDR report is generally not shared with the company.
5. Definitive agreements: Share Subscription Agreement (AIF and company), Disclosure Letter (qualifies warranties; disclosed items cannot later be claimed as breach), Shareholders' Agreement (all shareholders); AoA amended to make SHA enforceable.
6. Milestone valuation pegs value to targets; missing them may cause a down round.
7. Anti-dilution: pre-emptive right (Section 62) and ratchet clause that issues extra shares in a down round.
8. Affirmative rights = positive control (investor consent needed regardless of shareholding); veto = negative control.
9. Liquidation preference: preferred holders paid first, possibly a multiple of investment.
10. Exit rights: ROFR/ROFO (inter-se shareholders), tag-along/co-sale (sell alongside promoter), drag-along (force promoters to sell to the same buyer; used when AIF is minority).
11. Regulation 21: sponsor and manager act in fiduciary capacity and disclose conflicts. Stewardship code has 6 principles.
12. Compliance Test Report: manager to sponsor/trustee within 30 days of FY end; comments within 30 days; manager's reply within 15 days.

13 Investment Committee members are responsible for decisions (LVF members exempt if they give a waiver); undisclosed external IC members need consent of 75% of investors by value; external IC members must be resident Indian citizens for processing applications.

14 AIFs must redress grievances within 21 calendar days (SCORES); disputes go to mediation/conciliation/arbitration; ODR available.

Teaser length **1–3 pages**	Leads taken up **About 25%**	Financial DDR period **At least past 3 financial years**	CTR timeline **30 days / 30 days / 15 days**
Grievance redressal **21 calendar days**	Undisclosed external IC member **75% investor consent**		

🎯 EXAM TIP
Match the right to its purpose: drag-along helps the AIF exit as a minority; tag-along protects against promoter exit; ratchet protects against down rounds; affirmative = positive control, veto = negative control.

⚠️ TRAP
The term sheet is NOT a definitive agreement and is non-binding; the PPM and subscription agreement are fund-level documents, not investee-level definitive agreements.



Chapter 8 · Weight: 15%

Fund Due Diligence – Investor Perspective

The heaviest chapter: how a distributor profiles an investor, maps them to suitable schemes, and how the investor diligences the fund and its manager (skin in the game, alignment, outside interests, track record, key-man clause, terms), plus SEBI's performance benchmarking regime and sales-strategy caselets.

MAKE IT STICK
Choosing an AIF is like choosing a surgeon for a 10-year operation: you check their past outcomes, whether they have their own money at stake, whether they're juggling five other hospitals, and what happens if the lead surgeon leaves mid-way (key-man clause).

1 Distributor understands the investor on three criteria: (1) risk profile and investment requirements, (2) fund structure and governance, (3) profile and track record of the manager; a questionnaire helps build the risk profile.

2 Map investor objectives to fund attributes: tenure, Category I vs II, debt vs equity, sectoral vs agnostic; one investor's needs cannot be universally applied to others.

3 Fund selection rests on three factors: ownership structure and continuing interest, alignment of interests, competing or outside interests.

4 Continuing interest = 'skin in the game'; many first-time managers invest more than the mandatory minimum.

5 Alignment areas: sponsor commitment, fee and carry (incl. super carry), waterfall, catch-up and clawback, outside interests, governance and reporting, related-party transactions, co-investment.

6 Manager evaluation: past fund experience, return track record, strategy expertise, exit expertise, litigations/write-offs, conflicts and regulatory issues.

7 Do not take comfort merely because a large institution has committed; every investor needs its own due diligence.

8 Fund DD approach: quantitative selection, team and infrastructure, investment process review, past performance review.

9 Hurdle too low (8%-10%) makes the manager's job easy; too ambitious (25%) may induce undue risk; around 15% is reasonable in the Indian context (per this chapter).

10 Key man clause stops new investments if key persons are unavailable; 'super key person' vs 'standard key person'.

11 Benchmarking: an association representing at least 33% of AIFs notifies benchmarking agencies; schemes with at least 1 year from first close report data; half-yearly as of September 30 and March 31 (March data audited); AUM = capital drawn down; pre-tax NAV; reported in INR and USD.

12 PPM/marketing material quoting past performance must include the benchmarking agency's performance-versus-benchmark report; customised reports are called 'Performance Report' not 'Benchmark Report'.

13 IVCA-appointed agencies: CRISIL, NSE and Preqin; Cat I/II benchmarks are by vintage year using pooled IRR, DPI, RVPI and TVPI.

14 Sales strategy: map product to investor; e.g. a pension fund seeking 7%-8% hurdle with interim payouts suits a debt fund in operational lease-backed real-estate SPVs, not a high-tech VC fund.

Three fund-selection factors
Ownership & continuing interest; alignment; outside interests

Benchmarking association threshold
≥ 33% of AIFs

Benchmarking frequency
Half-yearly (30 Sept, 31 March)

Data from
Schemes ≥ 1 year from first close

Benchmarking agencies
CRISIL, NSE, Preqin

Reasonable hurdle (Indian context)
Around 15%

🎯 EXAM TIP
This chapter carries 15%: expect product-investor matching caselets. Read the investor's horizon, risk appetite, income need and hurdle, then pick the fund whose strategy and cash-flow pattern fits.

⚠️ TRAP
Benchmarking is half-yearly (not quarterly), uses pre-tax NAV, and AUM means capital drawn down (not commitments).

Chapter 9 · Weight: 10%

Legal Documentation and Negotiation – Investor Perspective

The five document families of an AIF (constitution, IMA, contribution agreement and side letters, PPM, service agreements), the SEBI PPM template, filing modalities (merchant banker, 10 working days, GARUDA), the Investor Charter, PPM audit and material changes.

MAKE IT STICK

The PPM is the menu card with ingredients and allergy warnings; the contribution agreement is your table reservation with your personal requests; side letters are the special requests whispered to the chef that other diners never see.

1. Trust is created by a trust indenture between settlor (often the sponsor) and trustee; trust deed must be registered; a trust has no separate legal personality.
2. Investment Management Agreement: between trustee (for the AIF) and manager; trustee delegates investment powers; 'for cause' removal covers fraud, wilful misconduct, gross negligence.
3. Contribution/Subscription Agreement: between each investor, trustee and manager; not shared with other investors; investors get a statement of account (unit certificates not required).
4. Side letters give specific investors differential terms; MFN clause prevents others getting better terms; managers often issue a separate class of units to avoid breaching fiduciary duty.
5. SEBI PPM template (Feb 2020 circular): Section A has 15 parts, e.g. Executive Summary, Investment Strategy, Structure, Governance, Track Record (Gross IRR, MOIC, DPI, RVPI, TVPI), Principal Terms (longest), Valuation, Conflicts, Risk Factors, Legal/Tax, Fee Illustration, Distribution Waterfall (5 scenarios), Disciplinary History, Glossary; Section B for additional disclosures.
6. Regular schemes: PPM filed via SEBI-registered merchant banker at least 10 working days before launch with MB due diligence certificate; first scheme launches from registration date or 10 working days after filing, whichever is later.
7. GARUDA (Green Channel: AIF Rollout upon Document Acknowledgement) is SEBI's fast-track launch mechanism.
8. AI-only funds and LVFs launch immediately upon filing PPM (first scheme from registration); angel funds from registration; they file with a CEO + Compliance Officer undertaking instead of a merchant banker.
9. SEBI does not approve the PPM; it only gives observations. Changes in PPM terms are intimated on a consolidated basis within 1 month of FY end.
10. Investor Charter: in PPM for new schemes; by e-mail for existing schemes. Complaint data compiled within 7 days of quarter end; maintained for last 3 financial years.

11 PPM audit annually; findings to trustee/board, manager's board and SEBI within 6 months of FY end; sections like Risk Factors, Legal/Tax, track record of first-time managers, fee illustration and glossary are optional to audit.

12 PPM template/audit waiver: each investor commits at least ₹70 crore (USD 10 million) and gives a waiver; LVFs need not follow the template or audit; angel funds above ₹100 crore investments (at cost) need annual PPM audit from FY 2025–26.

13 Material changes (change of sponsor/manager, change of control, fee/hurdle change raising fees) trigger investor exit rights.

14 Custodian must be appointed before the scheme's first investment.

PPM filing lead time	**10 working days before launch**
PPM audit report	**Within 6 months of FY end**
Template/audit waiver ticket	**₹70 crore (USD 10 million) per investor**
Angel fund audit threshold	**₹100 crore investments at cost**
Complaint data	**Compiled within 7 days of quarter end**
Waterfall scenarios in PPM	**5 (loss, no P/L, < hurdle, = hurdle, > hurdle)**

🎯 EXAM TIP
Questions often test who signs what: IMA = trustee + manager; contribution agreement = investor + trustee + manager; side letter = investor + AIF + manager; SSA/SHA belong to the investee level (Chapter 7).

⚠️ TRAP
Filing a PPM with SEBI does NOT mean SEBI approved it. And the 10-working-day rule does not apply to AI-only funds and LVFs, which launch upon filing.



Chapter 10 · Weight: 5%

Fund Monitoring, Reporting and Exit

What AIFs must disclose and report (Regulation 22, 27, 28), how investors should monitor without micromanaging, the exit offered on material PPM changes, secondaries, exits from portfolio companies and the winding-up toolkit (liquidation period, in-specie, dissolution period, inoperative fund).

MAKE IT STICK
Monitoring a fund is like being a passenger on a long flight: you can't fly the plane, but you should read the flight updates, notice if the route changes, and you get a parachute (exit option) if the airline changes pilots.

1 Annual report to investors within 180 days of year end: financial information of investee companies and material risks (concentration, FX, leverage, realisation, strategy, reputation, ESG).

2 Disclose as and when they occur: regulatory inquiries/legal actions, material liabilities, breaches of PPM/agreements, change in control of sponsor/manager/investee; significant change in key investment team.

3 Regulation 27 records (assets, valuation policies, strategies, investor particulars, rationale for investments) kept for 5 years after winding up.

4 Annual Activity Report on SI Portal within 30 calendar days of end of March; limited Quarterly Activity Report within 15 calendar days of quarter end (none separately for March quarter).

5 Fund monitoring is oversight, not fund management; watch for 'style drift' in blind-pool funds.

6 Material changes: change in sponsor/manager (not internal group restructuring), change in control, fee/hurdle change leading to higher fees.

7 Exit on material change: dissent window of at least 1 month; manager buys out dissenters at not less than the average of 2 independent valuations; costs borne by manager/sponsor; completed within 3 months of the dissent deadline; not needed if 75% of unit holders by value approve.

8 Secondaries: sale of fund interests to other investors, usually at a substantial discount to NAV; outstanding commitments transfer to the buyer.

9 Portfolio exits: IPO/OFS (most preferred), strategic sale/M&A (second most preferred), secondary/trade sale, promoter/company buyback via put option (last resort in going concern), liquidation (least preferred); typical holding 3–7 years.

10 Liquidation preference may be 1.5× or 2× the investment.

11 Winding up (Reg. 29): tenure over; trustees' opinion; 75% of investors by value resolve; or SEBI directs. No new investments after intimation.

12 Liquidation period = 1 year after (extended) tenure expiry; no new Liquidation Schemes after April 25, 2024; dissolution period needs 75% approval and 2 independent valuations; unsold assets then mandatorily distributed in specie.

13 Proceeds may be retained beyond fund life for litigation notices, with 75% consent, or for winding-up expenses (max 3 years).

14 Inoperative Fund status: no new schemes, no management fees; annual status report within 30 calendar days from end of March.

Annual report to investors **Within 180 days of year end**	Records retention **5 years after winding up**	Annual / Quarterly activity report **30 / 15 calendar days**
Dissent window **At least 1 month**	Exit completion **Within 3 months; ≥ average of 2 valuations**	Liquidation period **1 year**
Expense retention cap **3 years after fund life**		

🎯 EXAM TIP

Numbers to lock in: 180 days, 30/15 days, 5 years, 1 month, 2 valuers, 3 months, 75%. Exit-route ranking (IPO best, liquidation worst) is a common MCQ.

⚠️ TRAP

The material-change exit is mandatory only if fewer than 75% approve; with ≥ 75% consent, no exit offer is required. Also, the exit cost is borne by the manager/sponsor, never the unit holders.



Chapter 11 · Weight: 5%

Valuation

How to value bonds and businesses (DCF, asset-based, relative multiples), how IPEV guidelines value unlisted portfolio companies at fair value, how fund NAV is built bottom-up, and SEBI's valuation rules (independent valuer, every six months, NAV upload).

MAKE IT STICK

Valuing a start-up is like guessing the adult height of a 5-year-old: you can use the parents' height (multiples), growth charts (DCF), or what the child weighs today (assets). Each gives a different answer, so valuers use judgement.

1. Theoretically best value = present value of future cash flows (DCF); highly sensitive to timing and assumptions.
2. Bond value = I × PVA(r,n) + F × PV(r,n); e.g. ₹100 bond, 12% coupon, 8 years, 14% required = ₹90.77.
3. Three business-valuation approaches: income (DCF), market (relative multiples), cost (asset-based).
4. EV = Equity value + debt (net of cash) + preference capital; e.g. 1000 + (200 – 5) + 50 = ₹1,245 crore.
5. Asset-based: book value/NAV (floor for going concern), replacement cost (high entry barriers), break-up value (distress). Revaluation reserve is excluded from cash net worth.
6. DCF: free cash flow for ~5 years + terminal value = FCF(T+1) ÷ (WACC – g), discounted at WACC; EV minus debt = equity value.
7. CAPM: Ke = Rf + β × (ER – Rf); e.g. 6% + 1.1 × 9% = 15.9%. Unlisted companies carry an illiquidity premium.
8. WACC example: post-tax Kd 8.75% (12.5% × 0.7), Ke 17.5%, D/E 1.5:1 → 60% × 8.75 + 40% × 17.5 = 12.25%.
9. Multiples: EV/EBITDA and EV/Sales (deal comps), P/E and P/BV (trading comps); non-financial metrics like GMV, ARPU, ARR.
10. IPEV: fair value is the best measure; seven methods: price of recent investment, early-stage (milestone/scenario/OPM), multiples (with illiquidity discount), NAV, DCF, debt valuation, industry metrics.

11 Fund NAV = sum of fair values of portfolio ('bottom-up', sum-of-parts), adjusted for taxes, fees, carry.

12 Cat I & II must value investments at least once every 6 months by an independent valuer; extendable to 1 year with 75% investor approval.

13 Valuation guidelines endorsed by an AIF association representing at least 33% of AIFs; change in methodology is not a material change but both old and new values must be disclosed.

14 Independent valuer: not an associate, at least 3 years' experience in unlisted valuation, IBBI-registered with ICAI/ICSI/ICMAI/CFA membership, or a CRA holding/subsidiary.

15 NAV upload per ISIN to depositories within 30 days of valuation date (or before May 01, 2026, whichever later).

Valuation frequency	Valuer experience	Terminal value
At least every 6 months (1 year with 75% approval)	**≥ 3 years**	**FCF(T+1) ÷ (WACC – g)**

CAPM	NAV upload	IPEV methods
Rf + β(ER – Rf)	**Within 30 days of valuation**	**7**

🎯 EXAM TIP
Expect at least one numerical: EV from market cap, CAPM cost of equity, WACC, P/E-based price, or bond value with PV factors. Also the 6-month/independent valuer rule.

⚠️ TRAP
Relative valuation gives Enterprise Value; deduct debt to get Equity Value. And P/BV cannot be used where book value is negative (common in start-ups).



Chapter 12 · Weight: 5%

Taxation – India Specific

Category I and II AIFs are 'Investment Funds' with tax pass-through for non-business income: income is taxed in investors' hands as if they invested directly, while business income is taxed at fund level. Covers TDS, reporting forms, investor taxation, DTAA/TRC, GAAR, GST, stamp duty, FATCA/CRS.

MAKE IT STICK
A pass-through AIF is like a glass pipe: water (interest, dividends, capital gains) flows straight to investors and is taxed there; only 'business income' gets stuck in the pipe and is taxed at the fund.

1 'Investment Fund' (Section 224, ITA 2025) = Cat I or II AIF (trust, company, LLP or body corporate) registered with SEBI or regulated under IFSCA; Category III does not get pass-through.

2 Non-business income is exempt at fund level and taxed in investors' hands in the same nature and proportion; business income is taxed at fund level (MMR for trusts; company/firm rates otherwise) and exempt for investors.

3 Business loss stays at fund level (carried forward); other losses pass through only if units held at least 12 months; investors may carry forward for 8 years.

4 From FY starting April 1, 2025, securities held by Cat I & II AIFs are capital assets, so exit gains are capital gains, not business income.

5 TDS by AIF: 10% on income (other than business income) to residents; non-residents: 20% on dividends, rates in force/DTAA on other income; no TDS on business income distributed. Investee companies do not deduct TDS on non-business income paid to the AIF.

6 Non-resident may apply under Section 393(2) for nil/lower deduction certificate (or CA certificate).

7 Form 78 to unit holders by 30 June; Form 79 to tax authorities by 15 June (CA-verified).

8 Investors may deduct interest up to 20% of dividend income (Section 93) where borrowed funds are used; non-residents taxed on gross dividends.

9 Conversion of debentures or preference shares into equity is not a taxable transfer; holding period includes the original instrument's period.

10 Buyback gains: exempt up to 30–09–2024; taxable in investors' hands for buybacks on or after 01–10–2024.

11 Section 92(2)(m): acquiring property below FMV taxes the difference if it exceeds ₹50,000.

12 DTAA benefit needs a valid, annually renewed TRC (plus Form 41/10F info); ITA applies where more beneficial than DTAA (subject to GAAR); MLI modifies treaties.

13 Indirect transfer: offshore entity deriving value 'substantially' from India if Indian assets exceed ₹10 crore AND are at least 50% of total assets.

14 GAAR (from 1 April 2017): main purpose tax benefit + at least one of four tests; overrides treaties. GST applies to management and trusteeship fees. FATCA (India signed 9 July 2015) and CRS (from June 3, 2015).

TDS to residents	**10% (non-business income)**
TDS on dividends to non-residents	**20%**
Loss pass-through holding	**≥ 12 months; carry forward 8 years**
Form 78 / Form 79	**30 June / 15 June**
Indirect transfer test	**> ₹10 crore AND ≥ 50% of assets**
Dividend interest deduction	**Up to 20% of dividend**
GAAR effective	**1 April 2017**

🎯 **EXAM TIP**

The single most-asked idea: which income is taxed at fund level (business income) versus passed through (interest, dividends, capital gains). Then TDS rates and the Category I/II-only scope of pass-through.

⚠️ **TRAP**

Pass-through does not apply to Category III AIFs or to all trusts; and business income is taxed at the fund, so it is exempt (not taxed again) in investors' hands.

Chapter 13 · Weight: 5%

Good Practices

The distributor's role, agreement, pitch and kit, pre- and post-commitment services, confidentiality, fraud and conflict prohibitions, and the 20 model good practices: investor interest first, no assured returns, no pass-backs, full fee disclosure, own staff for KYC.

MAKE IT STICK

A good AIF distributor is like a trusted family doctor, not a pharma rep: they prescribe what fits the patient, explain side-effects (risks and fees), never pay patients to take the medicine (pass-backs), and keep records private.

1. Four pillars of AIF distributorship: marketing, sales, support and relationship management.
2. Distributor agreement is bipartite (fund-distributor) or tripartite (fund, investment manager, distributor); key terms: roles, rights/obligations, indemnity, commissions and their distribution, penal actions, arbitration.
3. Investor presentation must be built from a complete analysis of the PPM: sponsor commitment, team, performance, structure and governance, fees, tax, risks, eligibility, drawdown, carry/catch-up, co-investment/MFN, reporting.
4. Distribution kit: fund constitution and SEBI registration, PPM, investor presentation, key disclosure statement, KYC forms, FATCA note, expert opinions, key timelines, approvals, FAQs, contact details.
5. Pre-commitment services include facilitating fund due diligence and seeking consent for commitment; post-commitment services include drawdown coordination, reporting support, grievances and marketing follow-on funds.
6. Fund pitch-books and manager data are confidential and proprietary to the AIF; distributors need a binding confidentiality policy (encryption, NDAs, firewalls, backups at DR site).
7. Misleading statements, concealing material facts/risks or ignoring suitability = fraudulent/unfair trade practice (PFUTP).
8. Use own staff for documentation, KYC and In-Person Verification; never tamper with investor details.
9. No pass-backs (sharing commission with investors) and no expensive gifts or gratification.
10. Never assure returns, except a pure debt scheme with assured returns explicitly provided in the PPM.
11. Do not sell funds where the distributor is a relative, associate, affiliate or subsidiary of the fund/manager/sponsor; avoid commitments from affiliates or entities where the distributor is a director or holds more than 10%.
12. Avoid soft-dollar arrangements; disclose all material information (hurdle, fees, carry, catch-up, expenses).

13 AIFs and their agents/distributors must show SEBI-registered name and registration number on social media (principal's details first, effective May 1, 2026).

Four pillars
Marketing, sales, support, relationship management

Agreement type
Bipartite or tripartite

Distributor stake conflict
Director or > 10% paid-up capital

Assured returns
Never, unless pure debt scheme with PPM-stated assured return

Model good practices
20

🎯 EXAM TIP
Scenario questions: pick the ethical action. Recommending a scheme because commission is higher, pass-backs, outsourcing KYC to third parties and guaranteeing a hurdle are all wrong.

⚠️ TRAP
Distributors may compare schemes, but only with similar, comparable AIFs on adequate information; bad-mouthing competitors is prohibited.

🧮 Formulas

Effective annual yield

```
r = (1 + k/m)^m - 1
```

12% p.a. paid quarterly: (1.03)^4 – 1 = 12.55%. Workbook: 15% monthly → 16.08%.

Present value

```
PV = FV ÷ (1 + r)^n
```

₹1,000 in 3 years at 10%: 1000 ÷ 1.331 = ₹751.

IRR / YTM

```
Rate r at which P = Σ C/(1+r)^t + M/(1+r)^n (Excel: =IRR(range))
```

₹10,000 invested, ₹19,000 back after 3 years → IRR ≈ 24% (simple average 30%).

Bond value

```
V = I × PVA(r,n) + F × PV(r,n)
```

₹100 par, 12% coupon, 8 yrs, 14% required: 12 × 4.639 + 100 × 0.351 = ₹90.77 (=PV(14%,8,12,100)).

PIC multiple

```
Paid-in capital ÷ Capital commitments
```

₹800 crore paid in of ₹1,000 crore → 0.80.

DPI

```
Cumulative distributions ÷ Paid-in capital
```

₹400 crore distributed on ₹1,000 crore PIC → 0.40.

RVPI

```
Residual (unrealised) value ÷ Paid-in capital
```

₹1,100 crore NAV on ₹1,000 crore PIC → 1.10.

TVPI

```
(Distributions + Residual value) ÷ PIC = DPI + RVPI
```

0.40 + 1.10 = 1.50.

MOIC

```
Total value (realised + unrealised) ÷ Total invested capital
```

Equals TVPI once all capital calls are met.

KS-PME

```
(Σ FV of distributions + NAV) ÷ Σ FV of capital calls (compounded at index returns)
```

Workbook: 140 ÷ 101.18 = 1.38 → fund beat the market.

Direct Alpha

```
IRR of index-compounded cash flows (fund IRR - market IRR in the illustration)
```

Fund IRR 35%, Direct Alpha 10% → market-equivalent IRR 25%.

Sponsor/manager commitment (Cat I & II)

```
Lower of (2.5% × corpus, ₹5 crore)
```

Corpus ₹100 crore → ₹2.5 crore; corpus ₹400 crore → ₹5 crore.

Angel fund manager interest

```
Higher of (0.5% × amount invested, ₹50,000)
```

₹6 crore invested → ₹3 lakh; ₹50 lakh invested → ₹50,000.

Concentration limit

```
Max per investee = 25% × investable funds (LVF 50%); investable funds = corpus - estimated expenses for tenure
```

Corpus ₹200 crore, expenses ₹20 crore → ₹180 crore × 25% = ₹45 crore.

Catch-up and carry (worked case)

```
Catch-up = c% × (Distributable - Investor capital & hurdle); Carry = 20% × remainder; Investors = 80% × remainder
```

6840 – 1460 = 5380; catch-up 25% = 1345; remainder 4035 → investors 3228, carry 807.

Enterprise value

```
EV = Equity value + Debt - Cash + Preference capital
```

1000 + 200 – 5 + 50 = ₹1,245 crore.

Book value per share

```
Equity shareholders' funds ÷ Number of equity shares
```

₹1,01,00,000 ÷ 10,000 = ₹1,010.

Break-up value per share

```
(Liquidation value of assets - Settlement value of debt) ÷ Number of shares
```

Workbook: ₹32,75,000 ÷ 10,000 = ₹327.50.

Terminal value (Gordon)

```
TV = FCF(T+1) ÷ (WACC - g)
```

FCF next year ₹110, WACC 12%, g 5% → ₹1,571.43.

CAPM

```
Ke = Rf + β × (ER - Rf)
```

6% + 1.10 × (15% – 6%) = 15.9%.

WACC

```
WACC = Wd × Kd(1 - t) + We × Ke
```

60% × 8.75% + 40% × 17.5% = 12.25%.

P/E based price

```
Price = P/E × EPS; EPS = PAT ÷ shares
```

PAT ₹100 lakh, 20 lakh shares → EPS ₹5; P/E 32 → ₹160.

EV/EBITDA

```
Enterprise value ÷ EBITDA
```

EV ₹26,737.79 lakh ÷ EBITDA ₹1,875 lakh = 14.26×.

🔢 Numbers to remember

₹1 crore (employees/directors ₹25 lakh; not for AIs) Minimum investment per investor	**₹20 crore** Minimum corpus per scheme	**1000** Maximum investors per scheme
Lower of 2.5% of corpus or ₹5 crore Sponsor/manager continuing interest (Cat I & II)	**3 years** Minimum tenure, Cat I & II	**Up to 2 years with two-thirds by value (AI-only: 5 years)** Tenure extension
Two-thirds of unit holders by value Change in strategy	**75% of investors by value** Associates / related AIF deals	**25% of investable funds (LVF 50%)** Single investee cap
30 days, 4 occasions/year, 10% of investable funds, 30-day cooling off Borrowing limits	**₹25 crore per accredited investor** LVF minimum	**Income ₹2 crore; or NW ₹7.5 crore (₹3.75 crore financial); or income ₹1 crore + NW ₹5 crore (₹2.5 crore financial)** AI individual criteria
Net worth ₹50 crore AI body corporate/trust	**2 years (or 3 years)** Accreditation validity	**₹10 lakh to ₹25 crore** Angel fund ticket per investee
1 year (6 months if sold to third party) Angel fund lock-in	**₹300 crore** Angel investee group turnover cap	**₹100 crore / ₹10 crore (AI ₹5 crore)** SSF corpus / ticket
At least 75% of investable funds Core investment for VCF/SME/SIF/Infra funds	**₹10 lakh** Social impact fund grant minimum	**After final close; minimum lot ₹1 crore** Listing of units
10 working days before launch, via merchant banker PPM filing	**USD 1,500 million (all AIFs); 25% of investable funds; SEBI approval valid 4 months** Overseas investment cap	**≥ 10% of post-issue diluted capital** FDI threshold
> 182 days in preceding FY FEMA residence	**Within 180 days of year end** Annual report to investors	**30 / 15 calendar days** Annual / Quarterly activity report to SEBI
5 years after winding up Records retention	**21 calendar days** Grievance redressal	**30 / 30 / 15 days** CTR timelines

Every 6 months (1 year with 75% approval)
Valuation frequency

≥ 1 month dissent; 2 valuers; completed in 3 months
Material change exit

1 year after tenure
Liquidation period

10%
TDS on resident distributions

> ₹10 crore and ≥ 50% of assets
Indirect transfer test

Half-yearly; schemes ≥ 1 year old; association ≥ 33%
Benchmarking

₹70 crore (USD 10 million) per investor
PPM template waiver

1802 as on March 01, 2026
Registered AIFs

📖 Glossary

AIF	Privately pooled investment vehicle registered under SEBI (AIF) Regulations 2012.
Accredited Investor (AI)	Investor certified by an accreditation agency on income/net-worth criteria; gets flexibility on minimum ticket and some regulatory concessions.
Large Value Fund (LVF)	AIF/scheme where each investor (other than manager/sponsor/employees) is an AI investing at least ₹25 crore.
Sponsor	Person who sets up the AIF; promoter (company) or designated partner (LLP).
Continuing interest	Mandatory sponsor/manager investment in the AIF ('skin in the game').
Capital commitment	Legally binding amount an investor agrees to contribute when called.
Drawdown / capital call	Manager's notice calling part of committed capital for investments or fees.
Dry powder	Committed but undrawn capital.
Investable funds	Corpus net of estimated administration and management expenses for the fund's tenure.
Hurdle rate / preferred return	Return investors must receive before the manager earns additional return.
Carried interest (carry)	Manager's share of profits above the hurdle (additional return).
Catch-up	Clause letting the manager receive a larger share until its carry equals the agreed % of total profits.
Clawback	Investors' right to recover carry paid early if later losses mean it was overpaid.
High watermark	Highest past fund value; performance fee only on value above it.
European waterfall	Whole-fund approach: capital and hurdle returned to investors before any carry.
American waterfall	Deal-by-deal carry paid before investors get all capital back; suits debt funds.
PPM	Private Placement Memorandum: offer document with all material disclosures, filed with SEBI.
Side letter	Bilateral agreement giving a specific investor differential terms.
MFN clause	Most Favoured Nation: ensures no other investor gets better terms.
Key man clause	Stops new investments if named key persons cannot devote necessary time.
Term sheet / SOPT	Non-binding summary of principal terms between AIF and investee company.

Ratchet	Anti-dilution clause giving extra shares to the investor in a down round.
Drag-along	Right forcing other shareholders to sell to the same buyer on the same terms.
Tag-along	Right to sell alongside a selling shareholder at the same price and terms.
J-curve	Pattern of negative early returns (fees, young investments) followed by rising returns.
DPI / RVPI / TVPI	Realised, unrealised and total value multiples on paid-in capital.
KS-PME	Kaplan-Schoar Public Market Equivalent: market-adjusted TVPI; > 1 beats the index.
IPEV Guidelines	International PE & VC valuation guidelines based on fair value.
Tax pass-through	Non-business income of Cat I/II AIF taxed in investors' hands, not at fund level.
TRC	Tax Residency Certificate needed by non-residents to claim DTAA benefits.
GAAR	General Anti-Avoidance Rules letting tax authorities disregard arrangements lacking commercial substance.
Pass-back	Distributor sharing commission with the investor; a prohibited practice.
Secondaries	Sale of an existing investor's fund interest to another investor, usually at a discount to NAV.
Inoperative Fund	Status for AIF schemes retaining money beyond fund life or awaiting litigation; no new schemes or fees.

⚡ Quick revision: the night before

1. AIF = privately pooled vehicle; essential feature of alternatives is illiquidity.
2. Cat I: VC, angel, SME, social impact, infra, special situation, CDMDF. Cat II: PE, debt (no leverage). Cat III: complex trading and leverage.
3. Minimum ₹1 crore per investor (₹25 lakh employees), ₹20 crore corpus, ≤ 1000 investors, private placement only.
4. Sponsor/manager interest: lower of 2.5% or ₹5 crore, in cash, not by fee waiver.
5. Cat I & II close-ended, minimum tenure 3 years; extension up to 2 years with two-thirds by value; AI-only up to 5 years.
6. Strategy change: two-thirds; associates and related AIF transactions: 75%; investor with ≥ 50% of corpus excluded from that vote.
7. Max 25% of investable funds in one investee (LVF 50%).
8. Borrowing: 30 days, 4 times a year, 10% of investable funds, 30-day cooling off.
9. AI: income ₹2 crore, or NW ₹7.5 crore (₹3.75 crore financial), or ₹1 crore income + ₹5 crore NW (₹2.5 crore financial); corporates ₹50 crore.
10. LVF: ₹25 crore per AI; PPM via merchant banker not required for AI-only funds.
11. Angel fund: ≥ 5 AIs before first close; first close within 12 months; ₹10 lakh to ₹25 crore per investee; ≥ 2 AIs per deal; lock-in 1 year.
12. SSF: corpus ₹100 crore; ticket ₹10 crore (AI ₹5 crore); stressed loans lock-in 6 months.
13. Overseas: USD 1,500 million cap, 25% of investable funds, SEBI approval valid 4 months.
14. All AIF investments from July 01, 2025 in demat form.
15. Hurdle: ~8% abroad, 10%-12% India VC/PE; never a guarantee.
16. European waterfall = capital + hurdle first; American = deal-by-deal carry + clawback.
17. TVPI = DPI + RVPI; at fund end RVPI = 0 and DPI = TVPI.
18. KS-PME > 1 means the AIF beat the market.
19. Gross IRR > net IRR > investor IRR after carry (25.45% / 24.56% / 20.13% in the worked case).
20. Trust = most preferred AIF vehicle (irrevocable, determinate); company least preferred.
21. Unified structure: offshore fund invests only via the domestic AIF; parallel: both invest directly.
22. Term sheet non-binding; DDR starts after term sheet; financial DDR ≥ 3 years.
23. Drag-along used by minority AIF to sell control; tag-along stops promoters exiting alone.
24. CTR: 30 days to sponsor/trustee, 30 days for comments, 15 days for reply.
25. Grievances resolved within 21 calendar days via SCORES.
26. Benchmarking: half-yearly, schemes ≥ 1 year from first close, pre-tax NAV, AUM = drawn capital; CRISIL, NSE, Preqin.
27. PPM filed 10 working days before launch through merchant banker; SEBI does not approve PPMs.
28. PPM audit annual; findings within 6 months of FY end.
29. Annual report to investors within 180 days; Annual Activity Report 30 days; Quarterly 15 days; records 5 years after winding up.
30. Material change exit: ≥ 1 month dissent, buy-out at ≥ average of 2 valuations, within 3 months; skip if 75% approve.
31. Exit ranking: IPO best, strategic sale second, liquidation worst.
32. Valuation every 6 months by independent valuer (1 year with 75% consent); valuer ≥ 3 years' experience.
33. Pass-through only for Cat I/II: business income taxed at fund (MMR for trusts); rest taxed in investors' hands.
34. TDS 10% to residents; 20% on dividends to non-residents; Form 78 by 30 June, Form 79 by 15 June.
35. Losses pass through if units held ≥ 12 months; carry forward 8 years.
36. No assured returns, no pass-backs, own staff for KYC/IPV, disclose all fees and carry.

🗓️ 21-day study plan (2 h/day)

Days 1–3: Foundations: Chapters 1, 2, 3

- Read notes and build a one-page category map (Cat I/II/III with examples)
- Memorise ₹1 crore / ₹20 crore / 1000 / 2.5% or ₹5 crore
- Take Mock 1

Days 4–7: Regulatory core: Chapter 4 and Chapter 5

- Make flashcards for every threshold in Chapter 4 (AI criteria, LVF, angel, SSF, borrowing, overseas)
- Draw the four structures (domestic, offshore, parallel, unified) from memory
- Take Mock 2 and review every wrong answer

Days 8–11: Numbers: Chapter 6 and Chapter 11

- Practise IRR, effective yield, PIC/DPI/RVPI/TVPI, CAPM, WACC, EV and P/E in Excel or LibreOffice
- Rework the Alpha Fund waterfall (catch-up 1345, carry 807)
- Take Mock 3

Days 12–15: Heavy-weight process chapters: 7, 8, 9

- Summarise investor protection rights and who signs which document
- Practise product-investor matching caselets (Chapter 8 = 15%)
- Take Mock 4

Days 16–18: Chapters 10, 12, 13 and full revision

- Memorise reporting timelines and winding-up options
- Learn pass-through tax table and TDS rates
- Take Mock 5, then Mock 6 (tough) under timed conditions

Days 19–21: Exam simulation and weak areas

- Take Mock 7 (tough) and the full 100-question simulator in 120 minutes
- Revise quickRevision and numbersToRemember twice
- Re-attempt all previously wrong questions

Independent study notes prepared from the official NISM workbook. Verify against the latest workbook on nism.ac.in.